

June 2009

T L DIRECT

The Line Direct

EDITO : One crisis further...

After several years of economic growth, and of strong development for our group, we are now living a deep crisis, derived from a financial crisis, affecting almost all business sectors and all regions of the World, and which even the most reputed experts have not been able to predict only some months ago. In this context, the need for information and communication is high, as we need to assess fast changing situations and keep our bearing.

First of all, I wish to say that at TLD, we know for a fact that we live in a cyclical industry, not to say in a cyclical world economy, and that we are always heading towards ups and downs, although we never really know in advance how and when the next crisis will occur, and how deep it is going to be. This has been the story of our last 20 years and more, and it will most probably continue in the future.

Living with this certainty in the back of your head does not make us immune at all, but it certainly helps us getting better organized and prepared to adapt to such events.

More than ever, we need to emphasize our culture of a lean and low cost company making quality products. We need to be flexible and adaptable to fast changing markets, and to stimulate dynamism, accountability and sense of communication.

Although this crisis may foster other short term priorities, let's all remember what our strategic goals are:

- To install durably the TLD Brand as a synonym of high quality and innovation,
- To deliver a superior service to our customers everywhere in the World,
- To maintain and improve operating conditions in order to reach our quality and support goals while continuing to deliver an excellent financial performance.

Indeed, we do not know how long and how deep the recession will be, and we will have to face tough times. But if we manage well this challenge, and pursue our strategy, I am confident that we will get out of the crisis successfully, even stronger than before.

Lastly, may be more than ever, it is important to understand that everyone in the group, at his respective position, through his action and efforts, has his own impact on the destiny and success of our Group.

Jean-Marie FULCONIS

The Latest Dispatch

SAGE Parts and TLD now sister companies!

Two years ago, in July 2006, AXA Private Equity and Barclays Private Equity created a holding company, today called ALVEST, in order to acquire TLD GROUP. The strategy of these investors was to continue to invest, through ALVEST, in the ground support equipment (GSE) sector and related services.

In June 2008, totally in line with this strategy, ALVEST announced the acquisition of SAGE PARTS.

SAGE PARTS is the World leading company for the GSE parts supply and logistics and has sustained a very strong growth in the past ten years, under its current leadership, with sales reaching 80 MUSD in 2008. Initially SAGE was mostly active in North America, and has more recently started to develop internationally by replicating its success overseas. Today, SAGE PARTS has 300 employees in 25 locations (17 in USA, 4 in Canada, 2 in Europe, 1 in Asia and 1 opening in Middle East).

SAGE PARTS offers a variety of value added services around parts distribution, including the full management of the parts supply chain for some key customers.

At this stage of development, SAGE has been looking for new equity investors in order to replace its private equity partners, who had been partnering with the owners and Company Executives since 2002. In consideration of the industrial approach and international exposure of ALVEST, as opposed to purely financial investors, SAGE management has decided to join ALVEST.

Under the ALVEST umbrella, TLD and SAGE PARTS are managed independently, by their own management teams, as each company continues to focus on its own market and implement its strategy. Since June 2008, TLD and SAGE have identified and started to implement some promising synergies in term of logistics, sourcing and purchasing.

Furthermore, this alliance reinforces the financial stability of each partner, in a time of uncertainty for the aviation sector.

Jean-Marie FULCONIS

TLD Life Digest

TLD opens a new factory in China to manufacture new products

In 1997, as a part of global strategy, TLD created its 1st manufacturing site in China, very close to Shanghai.

When TLD started to implement its RANGER strategy, this Shanghai site has been given important missions: not only to manufacture RANGER products, but also to provide components and sub-assemblies to the other sister factories involved in the RANGER program, via the Group Sourcing Team.

TLD Shanghai has become an important RANGER plant among TLD's global industrial network, with the full range of RANGER products: NBL, TMX-150, GPU, LSP/WSP, ABS-580.

As both domestic and overseas demand increase steadily over the years, TLD Shanghai factory reaches its saturation gradually, mainly due to limitation of its physical size.



In order to continue to optimize its industrial network, and to pursue its sustainable development in China, TLD has decided to open a second factory in Wuxi, China.

On February 26, 2009, more than 150 guests have witnessed the opening ceremony of TLD Wuxi organized inside its new assembly workshop.

With better logistic set up, this site will play an important role in TLD's newly developed MASTER program and manufacture other "heavy RANGER equipment".

TXL-838 is the first MASTER product introduced to Wuxi, together with the now RANGER TMX-450.

By opening this WUXI site, TLD demonstrates its confidence in the development of Aviation Industry in China, despite the current world economic crisis, and reaffirms its ambition and long term commitment in China.



Tang XIANG

The Last Development of TLD Saint-Lin

The TXL-737-E

Beginning of 2008, the TLD Saint-Lin engineering department, anticipating the request from Air France to order 3,5t electrical loaders, started the design of a full electrical powered loader 727, with a full involvement of the site management team .

In April 2008, Air France launched its call for tender , for 48 loaders, either diesel, electrical or hybrid, Which gave the signal of a race with others competitors. We had to demonstrate that an electrical version was technically possible, reliable (thanks to our know-how and experience in electrical vehicle), low cost (low TCO) and achievable in the short schedule imposed by Air France.

In July 2008, Air France awarded us the contract, with a total number of 78 units to be delivered within 3 years.



The TXL-737-E has an innovating design, making use of a maximum number of components already proven on other TLD electrical vehicles, like the ABS-580, NBL, TPX-100-E, JET-16, and on the large range of TLD loaders.

With an onboard battery charger and an operating autonomy of 8 aircraft cycles (8 loading + 8 unloading Airbus A320/21 type), the needs of dedicated infrastructures on airport are not necessary and most of common operations are covered by this application.

With zero CO² emission, very cost effective in operation, (idle times do not consume energy,) maintenance-less, the TXL-737-E should win market shares.



Thanks to our experience in Electrical vehicles, the price of such units is only at a 5% premium compared to a diesel one. It means that the return on investment for the customer is very rapid due to the economy generated by fuel saving and reduced maintenance.

In addition, various safety features help the operator to drive and operate the loader in total safety: A laser and radars guide during the approach to the aircraft, simple mechanical barriers all around the bridge prevent from falling, access stair to reach the driving station, low speed joystick for a safety aircraft approach...

Delivery started in January 2009 and the last loader will be delivered to Air France mid June. The production peak being in April and May, with an average of 3 loaders per week. Today, half of the Saint-Lin range is available in electrical power (ABS-580, NBL, JET-16 and TXL-737).

The WSP/LSP-900 should follow in a near future, and may be Transporters, if we get sign of interest by customers.

Nicolas VERIN

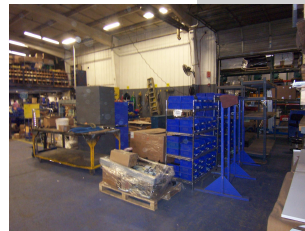
The Last Development of TLD Windsor

TLD ACE upgrades, on the path to Green.

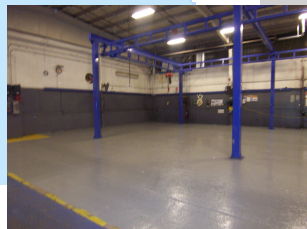
2009 has brought with it many challenges as business conditions and the global economy have continued to contract, so too has ACE. In addition to improving the function and appearance of our shop, we are investing heavily in improved product efficiency and new offerings to develop a greener product line with a lower total cost of ownership.

Shop Improvements: TLD ACE started off the year with a fresh new look in the shop as we repainted all the floors in production and 5S'd the shop by removing all unneeded shelving and parts to consolidate point of use areas to reduce travel and cycle time. The result was an improved workspace, visual controls and reduced travel for shop supplies and fasteners.

Before:



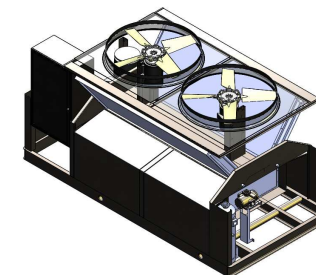
After:



Product Improvements: Recognizing that the GSE market is demanding Green Products that reduce emissions and offer a lower total cost of ownership, TLD ACE is developing new products to satisfy this market.

TLD ACE is in the final stages of designing a Low Total Cost of Ownership (L-TCO) Ground Power Unit. This unit has been designed utilizing a four-cylinder engine, reduced parasitic loads and a new TLD generator operating at 1846 RPM. Prototype testing indicates that this design will save a typical owner approximately 20% in fuel costs. TLD ACE expects this product to be available in August, and is braced for strong sales to our environmentally, and cost, conscious customers.

TLD ACE is also prototyping a new high efficiency electric air conditioner to satisfy demand for large, efficient, electric air conditioners in the European market. The ACU-902 is a state of the art air conditioner, utilizing variable speed drives on all rotating components and a sophisticated control system that ensures the minimum amount of energy is consumed to accomplish the required cooling. TLD ACE expects to demo this unit in Europe this summer, and to show it proudly at the Munich GSE show.



Peter OWITZ

TLD people

« Salam Aleikum » (La Paix sur vous),

In 2007, the Middle East region was gradually taking more and more importance for TLD Europe. This region was booming with the quick expansion of the local airlines and continuous need for ground support equipment. It became very clear to TLD that being based locally would enable to better support our customers and increase our market share.

After evaluating all the possible locations in the region, it was decided that this new TLD office would be located in DUBAI.

DUBAI is a state city located in the UAE (United Arab Emirates), it is one of the largest hub of the region with an international airport having a capacity of 75 Millions passengers.

The UAE has 2 major legacy airlines, ETIHAD (Based in ABU DHABI), EMIRATES (Based in DUBAI) and one important low cost airline, AIR ARABIA (based in the neighbouring Emirate of SHARJAH). TLD had no active relation with DNATA, the only handling company for DUBAI AIRPORT. Therefore a sales and technical presence there was also a move to penetrate this important market.



Early 2008, TLD started to apply for its trade license, mandatory to open an office in DUBAI, which was obtained in September 2008. The TLD Europe DUBAI branch is based in the AIRBUS Logistic building located at the airport in the DUBAI AIRPORT FREE ZONE. 3 persons support the operation locally. Christophe Lesbaudy, Regional Sales director for Middle East and India, assisted by Mr Shabbir Petkar (Spare parts manager) and Robert Sterry (Technical manager).



TLD locally holds a stock of parts in order to better support its customers and help Rob to reduce equipment down time.

In 2008, TLD has made some major break through in the region as we were able to gain important customers such as SHARJAH AVIATION SERVICES, ROYAL JET, ETIHAD, YEMEN AIRWAYS, KUWAIT AIRWAYS and QATAR AIRWAYS. TLD also succeeded in introducing its towbarless tractors in the region.

TLD people

Of course, like anywhere else in the World, the Middle East is affected by the global crisis. Some major projects like JEBEL ALI AIRPORT (DUBAI Second airport) has been put on hold, but we think that this crisis will also help us to reinforce our position locally by showing our commitment to our customers with a strong local presence and after sales support. Despite the crisis, TLD still expects some significant orders in the Middle east this year, which would comfort our leading position.

Very close to the Emirates, Saudi Arabia is a market where TLD has been active for a long time. Some representatives of the national carrier SAUDI ARABIAN AIRLINES have recently visited our Montlouis and Saint-Lin factories. This airline is current studying the introduction of towbarless tractors, which could represent a nice opportunity for TLD.

To summarise, a lot of exciting projects and opportunities exist in this part of the World, and TLD now has a strong and dedicated team to face these challenges.

Christophe LESBAUDY

T L Dash board (in M€uros)

(Year to date-end of APRIL figures)

TLD Sales	2009-04		2009/2008 % Evolution
	in M€uros	in % of total	
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	9,5	20,2%	<39,9>%
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	26,9	57,1%	<16,9>%
GSE - AREA ASIA	5,9	12,5%	<19,6>%
Other activities (Adhésives solutions)	4,8	10,2%	<11,2>%
TOTAL TLD SALES	47,1	100%	<23,3>%

